

Ruling

Based on the analysis above, the Court **GRANTS** Defendant's motion to strike as to the four prayers for relief seeking punitive damages and **DENIES** Defendant's motion to strike in all other regards. Plaintiff is granted leave to amend.

6. 9:00 AM CASE NUMBER: C25-00713
CASE NAME: PRAVEEN GUPTA VS. THE VINTNER CONDOMINIUM HOMEOWNERS ASSOCIATION
*HEARING ON MOTION IN RE: STRIKE PUNITIVE DAMAGES CLAIMS IN SECOND AMENDED COMPLAINT
FILED BY: NEW PIPES INC
TENTATIVE RULING:

Before the Court is Defendant New Pipes, Inc.'s Motion to Strike Punitive Damages Claims in Second Amended Complaint

Defendant filed and served its Demurrer and declaration in support on April 9, 2026. Thereafter, on April 14, it filed a three-part Request for Judicial Notice in support thereof. The unopposed RJN is **GRANTED**. Counsel is reminded that all papers supporting its motion should be filed and served together. (See e.g. Code of Civil Procedure § 1005(b).)

Initial Consideration

Plaintiff filed a declaration which attached four documents labeled as Exhibits A-D. "[E]lectronic exhibits **must include** electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit." (Cal. R. Ct. 3.1110 (f)(4) emphasis added.) The declaration did not include any bookmarks, much less ones with the required information. Plaintiff is reminded to comply with all Rules of Court going forward.

Factual Allegations

See Line 7.

Legal Standard

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part of the pleading. (Code Civ. Proc. § 435 (b)(1); Cal. R. Ct., Rule 3.1322(b).)

The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of the pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. §§ 436(a)-(b); *Stafford v. Schultz* (1954) 42 Cal.2d 767, 782 ["matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].) An "irrelevant" matter includes allegations not essential to the claim or defense, as well as allegations "neither pertinent to nor supported by an otherwise sufficient claim or defense." (Code Civ. Proc. § 431.10 (b).)

Analysis

Defendant seeks to strike the allegations of the SAC that relate to Plaintiff's claim for punitive

damages against it.

Under Civil Code §3294, punitive damages may be awarded “[i]n an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Civil Code § 3294(a).)

“‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code, § 3294.) “*Animus malus* or evil motive, then, is the central element of the malice which justifies an exemplary award.” (*G. D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 30.) “‘Oppression’ means ‘subjecting a person to cruel and unjust hardship in conscious disregard of his rights.’” (*Monge v. Superior Court* (1986) 176 Cal.App.3d 503, 511.)

To support punitive damages, the complaint must allege the ultimate facts of the defendant’s oppression, fraud or malice. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 316.)

Regarding a request for punitive damages against a corporate entity, such an award “must rest on the malice of the corporation’s employees.” (*Cruz v. Homebase* (2000) 83 Cal.App.4th 160, 167.) However, the “law does not impute every employee’s malice to the corporation. Instead, the punitive damages statute requires proof of malice among corporate leaders: the ‘officer[s], director[s], or managing agent[s].’” (*Ibid.* quoting Cal. Civ. Code § 3294, subd. (b).)

A ‘managing agent’ is an employee “who ‘exercise[s] substantial discretionary authority over decisions that ultimately determine *corporate policy*.’” (*Ibid.* italics in original.) ‘Corporate policy’ is “the general principles which guide a corporation, or rules intended to be followed consistently over time in corporate operations.” (*Ibid.*) “A ‘managing agent’ is one with substantial authority over decisions that set these general principles and rules.” (*Id.* at 167-68.)

Corporate Liability

New Pipes argues that the SAC fails to allege sufficient facts to required to show that an officer, director, or managing agent acted maliciously such that punitive damages can be awarded against the corporate entity.

Plaintiff argues that the SAC sufficiently alleges such facts at paragraph 78A, which reads, in pertinent part:

“New Pipes also acted with fraud, oppression, and/or malice within the meaning of Civil Code section 3294, through conduct authorized, directed, approved, and/or knowingly ratified by its officer(s), director(s), and/or managing agent(s), including the Responsible Managing Officer or Responsible Managing Employee responsible for supervising permit compliance, project scope, and inspection obligations for permit PLMB-2021-0285.”

Plaintiff argues that a Responsible Managing Office or Employee (RMO/E) is a role the Contractors State License Law requires every corporate licensee to designate, and the individual must be ‘actively engaged’ in the license classification at that time. (Opp. at 7:22-8:3 citing Bus. & Prof. Code § 7068(c)(4).)

This classification, however, does not require that such an employee be on ‘officer, director, or managing agent’ of the corporation. All that is required is that the individual be a ‘bona fide employee’ of the company – which means an ‘employee who is permanently employed by the

applicant.’ (*Id.* at (c)(2)(A).)

As noted by New Pipes, the SAC “does not allege the name of the RMO or RME, when that person learned of the allegedly fraudulent permit description or unpermitted work, what actions that person took in response, or any other facts showing authorization of the conduct.” (Reply at 7:28-8:3.) The only reference to any particular person in the SAC is to “New Pipes’ employee James Vinyard” who is described as the person “listed as the inspection contact on the permit described herein.” (¶ 5.) There are no allegations describing Mr. Vinyard’s title or duties at New Pipes. Nor are there any allegations indicating what he did that rises to the level of malice.

The mere allegation that an officer, director, or managing agent was aware of the conduct is not sufficient to allege punitive damages. “Pleading in the language of the statute is acceptable **provided that sufficient facts are pleaded to support the allegations**. [Citation omitted.] The terms themselves are conclusory, however. [Emphasis added.]” (*Blegen v. Superior Court* (1981) 125 Cal.App.3d 959, 963.)

“In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff.” (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1555.) “Ultimate facts are those ‘on which liability depends,’ as distinguished from both the evidence proving those facts [citation] and conclusions of law. [citation]” (*Estes v. Eaton Corp.* (2020) 51 Cal.App.5th 636, 643 fn. 2.) “They are the ‘facts constituting the cause of action.’” (*Ibid.*) “Put another way, they are ‘[a]ll the facts that are *material* to the cause of action – i.e., the facts that make a difference to the outcome of the case.” (*Ibid.*)

Here, there are no allegations indicating that an officer, director, or managing agent had any connection to the actions presented in the SAC. There are no allegations that any particular person – much less someone in one of those positions – ratified or even knew about the issues presented in this case. The conclusory allegation that some unidentified ‘officer, director, or managing agent’ “including the Responsible Managing Officer or Responsible Managing Employee responsible for supervising permit compliance” is insufficient to state a claim for punitive damages against a corporation.

As Plaintiff has failed to properly plead a basis for punitive damages against a corporate entity, the Court need not address the parties’ other arguments at this time.

Leave to Amend

“Our Supreme Court has observed that where ‘plaintiff has not had an opportunity to amend the complaint in response to the demurrer [or motion to strike], leave to amend is liberally allowed as a matter of fairness, unless the complaint shows on its face that it is incapable of amendment.’” (*Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 412 quoting *City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747.)

The SAC is the first time the Court has substantively addressed these issues – as the earlier rulings on the two previous pleadings were based purely on standing grounds. The SAC does not show on its face that it is incapable of amendment. As such, leave to amend is appropriate under the circumstances of this case.

Conclusion

The Court rules as follows:

- New Pipes’ motion to strike is **GRANTED**.

- Plaintiff is **GRANTED** leave to amend. Leave is limited to pleading additional facts to support Plaintiff's punitive damages request.

Plaintiff shall file any amended complaint within 10 days of notice of entry of the order on this motion.

7. 9:00 AM CASE NUMBER: C25-00713
CASE NAME: PRAVEEN GUPTA VS. THE VINTNER CONDOMINIUM HOMEOWNERS ASSOCIATION
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: NEW PIPES INC

TENTATIVE RULING:

Before the Court is Defendant New Pipes, Inc.'s Demurrer to Second Amended Complaint.

Defendant filed and served its Demurrer and declaration in support on April 9, 2026. Thereafter, on April 14, it filed a three-part Request for Judicial Notice in support thereof. The unopposed RJN is **GRANTED**. Counsel is reminded that all papers supporting its motion should be filed and served together. (See e.g. Code of Civil Procedure § 1005(b).)

Initial Considerations

As pointed out by Defendants, Plaintiff's opposition memorandum exceeds ten pages but did not include a table of contents or table of authorities. "A memorandum that exceeds 10 pages must include a table of contents and a table of authorities." (Cal. R. Ct. 3.1113 (f).)

In addition, Plaintiff filed a declaration which attached four documents labeled as Exhibits A-D. "[E]lectronic exhibits **must include** electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit." (Cal. R. Ct. 3.1110 (f)(4) emphasis added.) The declaration did not include any bookmarks, much less ones with the required information.

Plaintiff is reminded to comply with all Rules of Court going forward.

Procedural Background

This matter relates to alleged improper repairs and construction impacting real property located at 8975 Alcosta Blvd., Unit 107, ("Property") which is within the Vintner Condominium Association.

Plaintiff filed the initial Complaint on March 13, 2025. The initial Complaint included Praveen Gupta and Wisdom Tree Properties, LLC as plaintiffs. Defendant Vintner Condominium Homeowners' Association ("Vintner") filed a demurrer on April 18, 2025. A basis for the demurrer was that the Complaint was uncertain as to who the proper plaintiff was and that if Wisdom Tree was properly a plaintiff that Mr. Gupta could not represent it given that he is not an attorney. The Court sustained the demurrer finding that the Complaint was uncertain as to what plaintiff owned the Property during the relevant time and the basis for the claims for damages.

Plaintiff filed the First Amended Complaint on September 15, 2025. The FAC alleged a total of nine causes of action. Five of those causes of action were alleged against moving Defendant New Pipes: Trespass (2nd CoA); Private Nuisance (3rd CoA); Negligence (4th CoA); Declaratory Relief (6th CoA); and Negligent Undertaking (9th CoA). Defendant New Pipes demurred to the Negligence, Declaratory Relief, and Negligent Undertaking causes of action as being uncertain and failing to allege sufficient